

May 18, 1992

In one respect, however, the 1990-91 recession appears to have been more severe than any since the Great Depression. According to data released by the Federal Reserve last month, the total market value of land in the United States dropped in 1990 and 1991. From a peak of \$5.5 trillion at the end of 1989, the estimated value of land in the United States decreased to \$4.8 trillion at the end of 1991, a decrease of \$725 billion, or 13 percent, over the 2-year span. In constant-dollar terms, the decrease in land values was over 19 percent.

During the years 1946 (year-end 1945 is the first date for which the Federal Reserve data on land values have been published) through 1989, the reported total market value of U.S. land rose *every* year. Not only did chronic price inflation tend to push it up along with the nominal value of everything else, but population and economic growth also served to increase its value in real terms because, as the saying goes, "they aren't making it any more." Thus, the 2 consecutive years of decreasing land values in 1990 and 1991 are extraordinary.

The Onset of a Rebound

In November 1990, *The Elliott Wave Theorist* showed a portion of Figure 20-7 and commented, "New home sales could soon begin a multi-month rebound, although based upon the wave pattern, it will merely interrupt a larger downtrend."

The rebound began right then, but has lasted far longer than the anticipated one year. In some measures, such as shown in Figure 20-7, the drop into 1990 led to a two-year rise that fell short of a new high. In other measures, such as revealed in Figure 20-4, it completed a correction within wave B, which promptly resumed. By still others, which will be shown in the next section, the long-struggling fifth wave from 1982 resumed. Real estate oriented stock prices

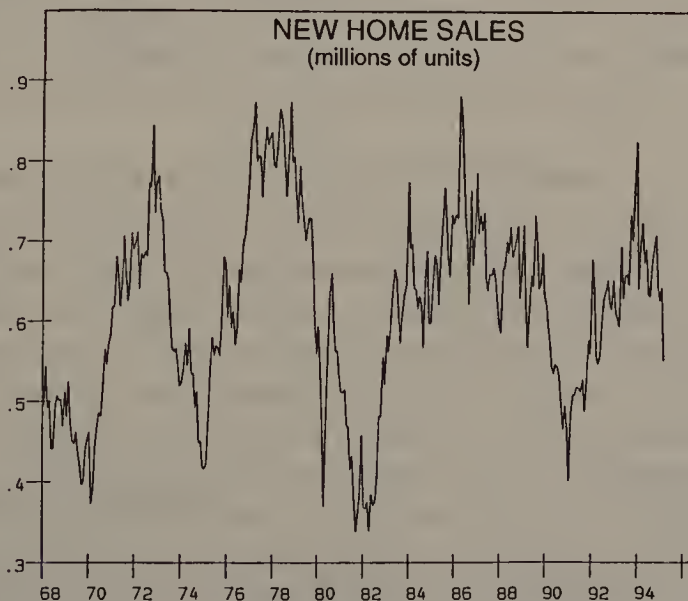


Figure 20-7